

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE 03 MONTHS PERIOD ENDED JUNE 30, 2021

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30TH JUNE 2021
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter/period ended 30 June	COMPANY AND INVESTEE		COMPANY	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Revenue	2,691,491,814	1,328,476,644	2,691,491,814	1,328,476,644
Cost of sales	(2,323,335,790)	(1,163,434,507)	(2,323,335,790)	(1,163,434,507)
Gross profit	368,156,024	165,042,137	368,156,024	165,042,137
Other income	1,949,330	1,153,228	1,949,330	1,153,228
Distribution expenses	(107,772,682)	(76,713,921)	(107,772,682)	(76,713,921)
Administrative expenses	(100,646,606)	(83,702,757)	(100,646,606)	(83,702,757)
Profit from operations	161,686,066	5,778,687	161,686,066	5,778,687
Finance income	10,920,802	7,966,134	10,920,802	7,966,134
Finance expenses	(20,770,499)	(44,093,665)	(20,770,499)	(44,093,665)
Net finance expenses	(9,849,697)	(36,127,531)	(9,849,697)	(36,127,531)
Share of (loss)/profit on equity accounted investee, net of tax	(594,657)	(521,146)	-	-
Profit before tax	151,241,712	(30,869,990)	151,836,369	(30,348,844)
Income tax expense	(27,331,399)	-	(27,331,399)	-
Profit for the quarter	123,910,313	(30,869,990)	124,504,970	(30,348,844)
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	-	(163,380)	-	(163,380)
Related tax	-	22,873	-	22,873
Other comprehensive income , net of tax	-	(140,507)	-	(140,507)
Total comprehensive income for the quarter	123,910,313	(31,010,497)	124,504,970	(30,489,351)
Earnings per share -Rs.	5.68	(1.42)	5.71	(1.39)
Market value per share				
Highest price-Rs.			159.25	79.90
Lowest price-Rs.			110.25	50.00
Last traded price-Rs.			111.75	72.90
Number of shares representing the stated capital (Nos.)			21,800,000	21,800,000

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30TH JUNE 2021
STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 30 June 2021 Rs.	As at 31 March 2021 Rs.	As at 30 June 2021 Rs.	As at 31 March 2021 Rs.
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,076,071,334	1,009,006,175	1,076,071,334	1,009,006,175
Intangible assets	5,670,392	6,825,088	5,670,392	6,825,088
Investment property	650,500,000	650,500,000	650,500,000	650,500,000
Investment in equity accounted investee	52,036,259	52,630,916	51,200,000	51,200,000
	1,784,277,985	1,718,962,179	1,783,441,726	1,717,531,263
CURRENT ASSETS				
Inventories	3,074,961,768	2,295,933,350	3,074,961,768	2,295,933,350
Trade and other receivables	3,046,011,999	3,043,906,707	3,046,011,999	3,043,906,707
Amount due from related companies	5,531,677	224,294	5,531,677	224,294
Value added tax recoverable	868,334,671	743,686,739	868,334,671	743,686,739
Deposits and prepayments	16,845,644	15,345,296	16,845,644	15,345,296
Cash and cash equivalents	1,233,451,906	924,789,700	1,233,451,906	924,789,700
	8,245,137,665	7,023,886,086	8,245,137,665	7,023,886,086
TOTAL ASSETS	10,029,415,650	8,742,848,265	10,028,579,391	8,741,417,349
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000,000	218,000,000	218,000,000	218,000,000
Capital reserves	573,696,094	560,376,093	508,702,787	495,382,786
General reserves	431,136,000	431,136,000	431,136,000	431,136,000
Retained earnings	3,598,777,656	3,488,187,344	3,662,934,704	3,551,749,735
	4,821,609,750	4,697,699,437	4,820,773,491	4,696,268,521
NON-CURRENT LIABILITIES				
Employee benefits	165,371,723	160,740,911	165,371,723	160,740,911
Deferred taxation	12,809,040	12,809,040	12,809,040	12,809,040
Interest bearing borrowings	217,377,397	2,157,346	217,377,397	2,157,346
	395,558,160	175,707,297	395,558,160	175,707,297
CURRENT LIABILITIES				
Trade and other payables	2,315,294,784	2,049,379,155	2,315,294,784	2,049,379,155
Amount due to related companies	967,703,259	600,636,824	967,703,259	600,636,824
Current taxation	319,725,203	308,912,838	319,725,203	308,912,838
Unclaimed dividends	17,211,827	17,212,429	17,211,827	17,212,429
Interest bearing borrowings	994,296,139	802,432,730	994,296,139	802,432,730
Bank overdrafts	198,016,528	90,867,555	198,016,528	90,867,555
	4,812,247,740	3,869,441,531	4,812,247,740	3,869,441,531
TOTAL LIABILITIES	5,207,805,900	4,045,148,828	5,207,805,900	4,045,148,828
TOTAL EQUITY AND LIABILITIES	10,029,415,650	8,742,848,265	10,028,579,391	8,741,417,349
Net Asset Per Share	221.17	215.49	221.14	215.43

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

Ms. Hemamala Karunasekara
Chief Financial Officer

Mahinda Saranapala
Director/Chief Executive Officer

U. G. Madanayake
Chairman

August 13, 2021
Colombo

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2020	218,000,000	404,949,947	431,136,000	2,908,360,870	3,962,446,817
Comprehensive income for the period					
Profit for the period				(30,869,990)	(30,869,990)
Other comprehensive income	-	-	-	(140,507)	(140,507)
Total comprehensive income	-	-	-	(31,010,497)	(31,010,497)
Interim dividend	-	-	-	(76,300,000)	(76,300,000)
Balance as at 30 June 2020	218,000,000	404,949,947	431,136,000	2,801,050,373	3,855,136,320
Balance as at 1 April 2021	218,000,000	560,376,093	431,136,000	3,488,187,344	4,697,699,437
Comprehensive income for the period					
Profit for the period	-	-	-	123,910,313	123,910,313
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	123,910,313	123,910,313
Interim Dividend	-	-	-	-	-
Balance as at 30 June 2021	218,000,000	560,376,093	431,136,000	3,612,097,657	4,821,609,750

COMPANY

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2020	218,000,000	353,276,640	431,136,000	2,677,279,962	3,679,692,602
Comprehensive income for the period					
Profit for the period	-	-	-	(30,348,844)	(30,348,844)
Other comprehensive income	-	-	-	(140,507)	(140,507)
Total comprehensive income	-	-	-	(30,489,351)	(30,489,351)
Interim dividend	-	-	-	(76,300,000)	(76,300,000)
Balance as at 30 June 2020	218,000,000	353,276,640	431,136,000	2,570,490,611	3,572,903,251
Balance as at 1 April 2021	218,000,000	495,382,786	431,136,000	3,551,749,735	4,696,268,521
Comprehensive income for the period					
Profit for the period	-	-	-	124,504,970	124,504,970
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	124,504,970	124,504,970
Interim dividend	-	-	-	-	-
Balance as at 30 June 2021	218,000,000	495,382,786	431,136,000	3,676,254,705	4,820,773,491

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30TH JUNE 2021
STATEMENT OF CASH FLOWS

For the period ended 30 June	COMPANY & INVESTEE		COMPANY	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Cash flow from operating activities				
Profit before tax	151,241,712	(30,869,990)	151,836,369	(30,348,844)
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	594,657	521,146	-	-
Interest income	(10,920,802)	(7,966,134)	(10,920,802)	(7,966,134)
Interest expense	18,604,918	36,994,665	18,604,918	36,994,665
Depreciation of property, plant and equipment	23,597,097	20,141,744	23,597,097	20,141,744
Impairment of Intangible assets	1,154,696		1,154,696	
Provision for obsolete and slow moving inventories	19,558,771	16,633,133	19,558,771	16,633,133
Provision for employee benefits	6,648,609	5,496,039	6,648,609	5,496,039
Operating Profit before working capital changes	210,479,658	40,950,603	210,479,658	40,950,603
Changes in working capital				
(Increase)/decrease in inventories	(798,587,189)	275,201,025	(798,587,189)	275,201,025
(Increase)/decrease in trade and other receivables	(2,105,292)	362,559,659	(2,105,292)	362,559,659
Increase in amount due from related companies	(5,307,383)	(88,404,240)	(5,307,383)	(88,404,240)
Increase in deposits and prepayments and value added tax recoverable	(126,148,280)	(4,928,075)	(126,148,280)	(4,928,075)
Increase/(decrease) in amount due to related parties	265,915,629	(536,626,708)	265,915,629	(536,626,708)
Increase/(decrease) in trade and other payables	367,066,435	(81,602,438)	367,066,435	(81,602,438)
Cash generated from operations	(88,686,422)	(32,850,174)	(88,686,422)	(32,850,174)
Employee benefit paid	(2,017,797)	(300,302)	(2,017,797)	(300,302)
Current tax paid	(16,519,034)	(24,334,165)	(16,519,034)	(24,334,165)
Interest paid	(18,604,918)	(36,994,665)	(18,604,918)	(36,994,665)
Net Cash Generated from / (used in) operating activities	(125,828,171)	(94,479,306)	(125,828,171)	(94,479,306)
Cash flow from investing activities				
Acquisition of property, plant and equipment	(90,662,256)	(55,677,695)	(90,662,256)	(55,677,695)
Interest received	10,920,802	7,966,134	10,920,802	7,966,134
Net cash (used in) / generated from investing activities	(79,741,454)	(47,711,561)	(79,741,454)	(47,711,561)
Cash flow from financing activities				
Dividend paid	(602)	(31,928)	(602)	(31,928)
Loans obtained during the period	732,176,139	560,053,968	732,176,139	560,053,968
Loans repayments during the period	(325,092,679)	(205,190,055)	(325,092,679)	(205,190,055)
Net Cash (used in) / generated from financing activities	407,082,858	354,831,985	407,082,858	354,831,985
Net increase in cash and cash equivalents	201,513,233	212,641,118	201,513,233	212,641,118
Cash and cash equivalents at beginning of the period	833,922,145	596,909,472	833,922,145	596,909,472
Cash and cash equivalents at the end of the period	1,035,435,378	809,550,590	1,035,435,378	809,550,590

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2020 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- As the statutory audit on the financial statements for the year ended 31st March 2021 has not been finalised due to unavoidable circumstances, the comparative figures for the period ended 31st March 2021, published in the Statement of profit or Loss and other Comprehensive Income, Statement of Changes in Equity and the Statement of Financial Position of the financial statements are unaudited and subject to change.
Further the Investment property of the Company which was stated at Rs. 306Million as at 31st March 2020 has been revalued at Rs. 650.5Million as at 31st March 2021, resulting in an increase in the total comprehensive income for the year ended 31st March 2021.
- The contingent liability as at June 30, 2021 on guarantees given to third parties amounted to Rs.103,622,154/-.
- The Board of Directors declared an Interim Dividend of Rs.4/50 per share for the year ended 31st March 2021 amounting to Rs.98.1 Mn on 26th July 2021.
- Company's performance in the quarter ended 30th June 2020, was affected by lockdowns accompanied by travel restrictions imposed by the Government due to COVID 19 pandemic.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 30 June 2021		As at 30 June 2020	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Mahinda Saranapala	- Director/CEO	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

10. Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 30 June 2021	4,399,696	20.2%	1544

Float adjusted market capitalization (Rs.)

491,666,028

Company complies the requirement of Listing Rules of **7.13.1 -Minimum Public Holding as a Continuous Listing Requirement** under the option No. 05 of 7.13.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

11. 20 Largest Shareholders of the Company as at June 30, 2021 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 Almas Organization (Private) Limited	450,300	2.07%
4 Bank of Ceylon-No 2 A/C (BOC PTF)	291,454	1.34%
5 Seylan Bank PLC/W. D. N. H. Perera	215,407	0.99%
6 People's Leasing & Finance PLC/Hi Line Towers (Pvt) Ltd	138,793	0.64%
7 Cosmo Mart (Private) Limited	105,392	0.48%
8 Thaha I. M.	103,500	0.47%
9 Waldock Mackenzie Ltd/Ceylinco Shriram Capital	76,600	0.35%
10 Seylan BankPLC/Senthil Verl Holdings (Pvt) Ltd	69,686	0.32%
11 Employees Trust Fund Board	65,247	0.30%
12 Saraswathi V. and Vasudevan S.	63,944	0.29%
13 Goonesekera C. D. M. (Mrs)	62,500	0.29%
14 Madanayake H. A. S.	61,000	0.28%
15 Madanayake U. G.	56,200	0.26%
16 Citizens Development Business Finance PLC	50,000	0.23%
17 People's Leasing & Finance PLC/Dr. H. S .D Soysa	45,154	0.21%
18 Leonard D. S.	41,203	0.19%
19 Kannangara N. L. & De Livera S. S.	40,000	0.18%
20 People's Leasing & Finance PLC/ Sadaharitha Capital	39,187	0.18%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company Registration No.	- PQ 117
Legal Form	- A Quoted Public Company with Limited Liability Incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered Office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle Place of Business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of Directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Mahinda Saranapala Mr. Deepal Sooriyaarachchi
Company Secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Sampath Bank PLC